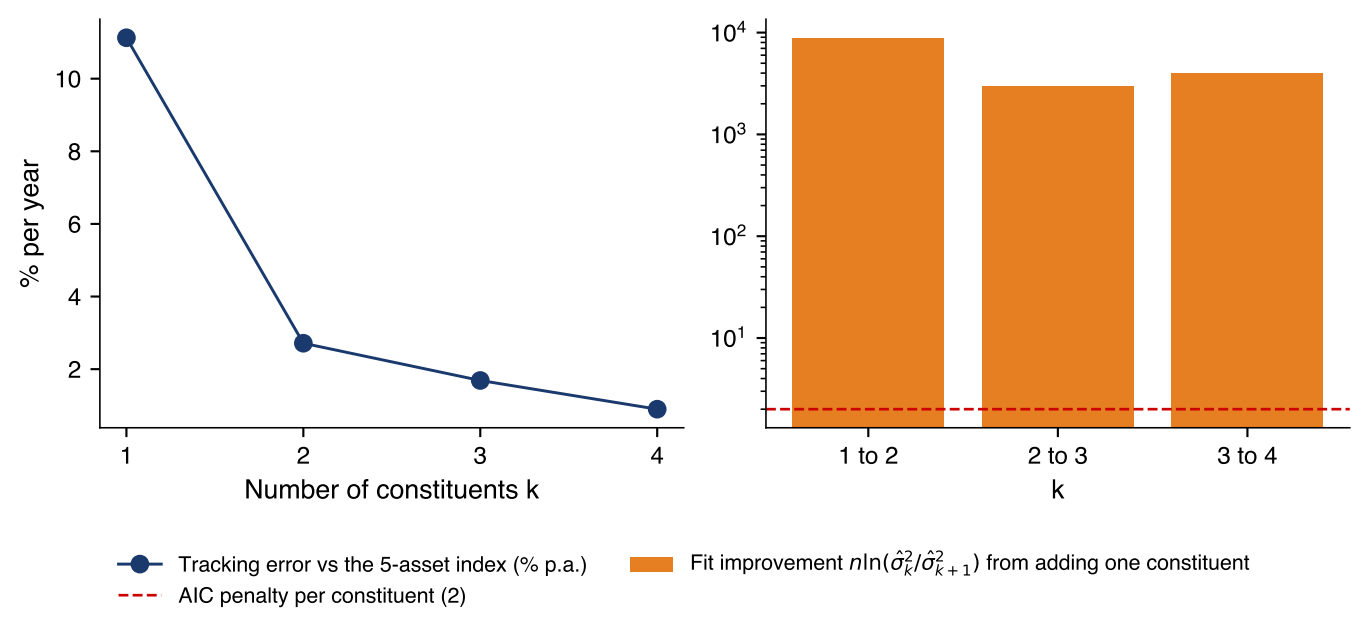
% per year
10
8
6
4
2
1
2
3
4
Number of constituents k
10^4
10^3
10^2
10^1
1 to 2
2 to 3
3 to 4
k
Tracking error vs the 5-asset index (% p.a.)
AIC penalty per constituent (2)
Fit improvement $n\ln(\hat{\sigma}_k^2/\hat{\sigma}_{k+1}^2)$ from adding one constituent